AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XI

ANNUAL EXAMINATIONS 2022

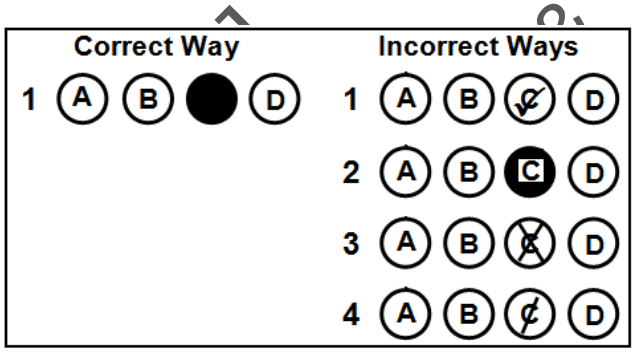
Principles of Accounting

Time: 2 hours 10 minutes Marks: 65

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 65 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. The marks obtained on the 65 MCQs will be equated to the total marks of 100 for the theory examination results.
8. You may use a scientific calculator if you wish
9. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

1. Asfar started his business by investing cash Rs 50,000, a building worth Rs 300,000 and merchandise valued Rs 25,000.

   The amount of capital of Asfar in the business would be

   A. Rs 300,000
   B. Rs 325,000
   C. Rs 350,000
   D. Rs 375,000

2. All of the following are the objectives of book keeping EXCEPT for

   A. making permanent records.
   B. preparing financial statements.
   C. classifying business transactions.
   D. identifying events and transactions.

3. The following expenditures were listed in the books of Al-Falah Traders.

   I. Metal detector for the store Rs 10,000
   II. Weighing machine for the store Rs 50,000
   III. Fire insurance premium for machinery Rs 15,000
   IV. Oil and lubricants for the pulley and weighing machine Rs 25,000

   The expenditures that would be considered as the 'revenue expenditures' are

   A. I and II.
   B. II and III.
   C. III and IV.
   D. II and IV.

4. The first book on the concept of double entry system of book keeping was originated and published in

   A. Italy.
   B. France.
   C. Germany.
   D. Great Britain.

5. The following features are related to a branch of accounting:

   - It serves as a vital source of data for business planning.
   - It helps to convert organisational strategies and objectives into feasible business goals.
   - It takes qualitative information into account which cannot be measured in terms of money.

   The given features are of

   A. book keeping.
   B. cost accounting.
   C. financial accounting.
   D. managerial accounting.

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6. Which of the following accounts is classified as a contra capital account?

   A. Drawings
   B. Petty cash account
   C. Allowance for bad debts
   D. Allowance for depreciation

7. All of the following are classified as expenses EXCEPT the amount paid for

   A. factory's rent.
   B. labours' wages.
   C. office furniture.
   D. business advertisement.

8. Which of the following is NOT classified as a business revenue?

   A. Sales
   B. Taxes
   C. Interest
   D. Commission

9. Which of the following transactions is NOT recorded as an asset?

   A. Payment done for office equipment.
   B. Payment done for insurance charges.
   C. Payment done for fixtures and furniture.
   D. Payment done for overhauling of vehicle.

10. It is a branch of accounting that deals with keeping the financial records of all direct and indirect expenses related to material, labour and factory overheads during production.

    The branch of accounting that can be identified from the given statement is

    A. book keeping.
    B. cost accounting.
    C. financial accounting.
    D. manufacturing accounting.

11. Which of the following account titles will be classified under 'current liability'?

    A. Inventory
    B. Equipment
    C. Trade payables
    D. Trade receivables

12. Which of the following transactions will be categorised as an 'advance from customers'?

    A. Payment made against an advertisement
    B. Payment received against services rendered
    C. Amount collected against goods to be delivered
    D. Amount deducted from an invoice in lieu of a taxation

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13. The fundamental accounts heads that are usually used in financial accounting are

    A. accrued, reserves and fund transactions.
    B. administrative and non-administrative cost.
    C. material, labour and factory overheads cost.
    D. assets, liabilities, expenses, revenues, and equity.

14. An owner withdraws goods from the business for his/ her personal use.

    The given business transaction will impact the account heads as

    A. increase in assets and decrease in liability.
    B. decrease in revenues and increase in expenses.
    C. decrease in assets and increase in drawings.
    D. increase in revenues and decrease in drawings.

15. An office equipment is purchased on account from a vendor.

    The given business transaction will impact the account heads as

    A. increase in assets and increase in liability.
    B. increase in revenues and decrease in liability.
    C. decrease in assets and decrease in capital.
    D. decrease in revenues and increase in expenses.

16. Rules of debit and credit are based on the accounting principle of

    A. money measurement.
    B. business entity.
    C. historic cost.
    D. dual aspect.

17. An accountant is responsible to keep record of all financial transactions related to a business and not the personal transactions of the businessman.

    The given situation depicts the accounting principle of

    A. accrual basis.
    B. historic cost.
    C. business entity.
    D. money measurement.

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18. Which of the following accounting heads is CORRECT with reference to the given categories of 'advance'?

	Advance from Customer	Advance to Supplier
A	Assets	Assets
B	Liabilities	Liabilities
C	Liabilities	Assets
D	Assets	Liabilities

19. Bilal borrowed Rs 120,000 from a bank on March 31, 2021 for 3 years. The annual interest on the loan is 12,000.

The general journal entry made by Bilal for the payment of interest on December 31, 2021 will be

	Particulars	P.R.	Debit	Credit
A	Interest expense		9,000	
	Cash			9,000
B	Cash		9,000	
	Interest expense			9,000
C	Interest expense		12,000	
	Cash			12,000
D	Cash		12,000	
	Interest expense			12,000

20. A general journal entry is always prepared on

A. daily basis.
B. yearly basis
C. weekly basis.
D. monthly basis.

21. The columns that distinguishes a two-column cash book from a three-column cash book is

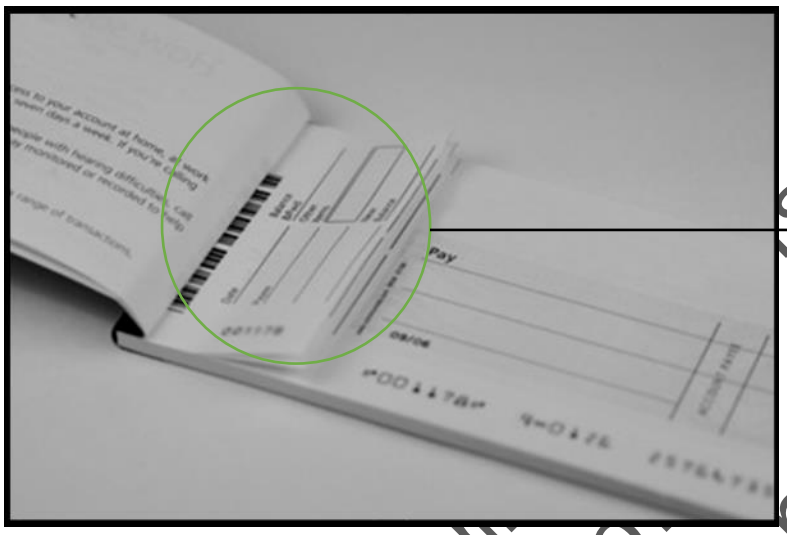
A. date columns.
B. cash columns.
C. bank columns.
D. discount columns.

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22. With reference to cash book, the transaction that will NOT be considered as a 'contra transaction' is

A. cash deposited into a bank.
B. cash withdrawn for an office use.
C. cash withdrawn for a personal use.
D. cheque deposited on the next working day.

23. Considered the given image of an accounting source document.

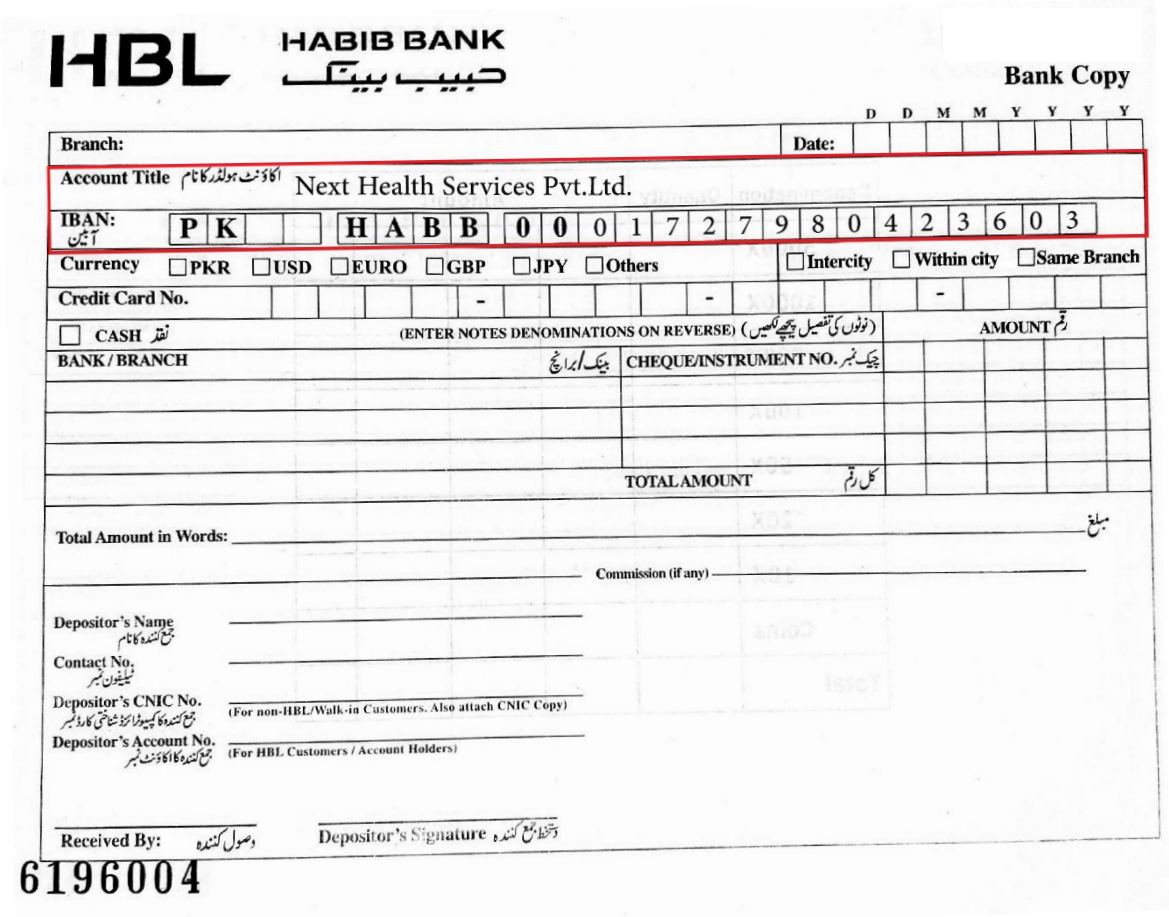


The source document, labelled as, **X**, in the given image is a

A. cheque.
B. receipt.
C. counterfoil.
D. bank draft.

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24. Considered the given image.



HBL HABIB BANK حبیب بینک

Bank Copy

Branch: Date: D D M M Y Y Y Y

Account Title اکاؤنٹ ہولڈر کا نام Next Health Services Pvt.Ltd.

IBAN: آئبن PK HABB 0001727980423603

Currency ☐PKR ☐USD ☐EURO ☐GBP ☐JPY ☐Others ☐Intercity ☐Within city ☐Same Branch

Credit Card No. - - -

☐ CASH نقد (ENTER NOTES DENOMINATIONS ON REVERSE) (نوٹوں کی تفصیل پیچھے لکھیں) AMOUNT رقم

BANK / BRANCH بینک / برانچ CHEQUE/INSTRUMENT NO. چیک نمبر

TOTAL AMOUNT کل رقم

Total Amount in Words: مبلغ

Commission (if any)

Depositor's Name جمع کنندہ کا نام

Contact No. ٹیلیفون نمبر

Depositor's CNIC No. جمع کنندہ کا کمپیوٹرائزڈ شناختی کارڈ نمبر (For non-HBL/Walk-in Customers. Also attach CNIC Copy)

Depositor's Account No. جمع کنندہ کا اکاؤنٹ نمبر (For HBL Customers / Account Holders)

Received By: وصول کنندہ Depositor's Signature دستخط جمع کنندہ

6196004

The source document depicted in the given image is a

A. cheque.
B. debit voucher.
C. pay-in slip.
D. credit voucher.

25. In an imprest system of a petty cash book, accountant gets the amount

A. paid off as it is expensed out.
B. replenished when it is fully consumed.
C. reimbursed at the end of the year.
D. paid in advance to incur expenses.

26. The ending balance of a petty cash book is considered as a/ an

A. asset.
B. income.
C. expense.
D. liability.

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27. A business maintains its petty cash book on the basis of the imprest system. On June 01, the balance in the petty cash book was Rs 2,000.

    If Rs 1,200 has been expensed out during the month of June, then the amount that will be replenished on July 01, would be

    A. Rs 800
    B. Rs 1,200
    C. Rs 2,000
    D. Rs 2,800

28. Ayan transferred an amount of Rs 15,000 from his personal bank account to his business bank account via internet banking as an additional investment.

    The given transaction will be posted in the cash book of Ayan in the

    A. bank column at the receipt side.
    B. bank column at the payment side.
    C. bank column at the receipt side and in the cash column of the payment side.
    D. cash column at the receipt side and in the bank column of the payment side.

29. The document that a seller issues for the goods returned by the customer is known as

    A. an invoice.
    B. a debit note.
    C. a credit note.
    D. a statement of account.

30. The process of recording the business financial transactions in a chronological order is known as

    A. posting.
    B. ledgering.
    C. vouchering.
    D. journalising.

31. The CORRECT statement for compound entry is that it involves

    A. no account heads.
    B. one account head only.
    C. two account heads only.
    D. more than two account heads.

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32. Sameer bought goods worth Rs 7,500 from Atlas Traders.

The general journal entry in the books of Sameer to record the given transaction would be

	Particulars	P.R.	Debit	Credit
A	Purchases		7,500	
	Cash			7,500
B	Purchases		7,500	
	Trade payable (Atlas traders)			7,500
C	Cash		7,500	
	Purchases			7,500
D	Trade payable (Atlas traders)		7,500	
	Purchases			7,500

Use the given information to answer Q.33 and Q.34.

Given is the cash ledger of Absar Traders:

Date	Particulars	Amount (Rs)	Date	Particulars	Amount (Rs)
	Sales	52,500		Purchases	25,000
	Commission	2,500		Trade payables	12,500
				Rent expense	7,500

33. The amount of footing in the given cash ledger would be

	Debit side	Credit side
A	(10,000)	45,000
B	45,000	45,000
C	55,000	55,000
D	55,000	45,000

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34. The amount that will be carried forward from the given cash ledger would be

A. Rs 10,000
B. Rs 45,000
C. Rs 55,000
D. Rs 100,000

Use the given information to answer Q.35 and Q.36.

Following are the account balances extracted from the books of Iftikhar Traders:

S. No.	Account title	Debit	Credit
1	Cash	10,000	
2	Trade receivables	15,000	
3	Trade payables		25,000
4	Prepaid rent expense	35,000	
5	Drawings	5,000	
6	Interest income		3,000

35. If the trial balance is extracted from the given data then the value of the capital for the business would be

A. Rs 27,000
B. Rs 33,000
C. Rs 37,000
D. Rs 43,000

36. The total amount for the agreement of the trial balance would be

A. Rs 35,000
B. Rs 60,000
C. Rs 65,000
D. Rs 70,000

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37. The following is the self-balancing cash ledger of Arman Traders:

Date	Particulars	P.R.	Debit	Credit	Balance
Feb 01, 2021	Balance b/d				12,000 (Dr.)
Feb 03,	Purchases			10,000	
Feb 05,	Account receivable		15,000		
Feb 07,	Salary expense			5,000	
Feb 09,	Commission		3,000		
Feb 11,	Transportation expense			12,000	

From the given ledger, the amount of balance on Feb 09, 2021 would be

A. Rs 3,000
B. Rs 9,000
C. Rs 15,000
D. Rs 21,000

38. A purchase journal is maintained to record

A. cash purchases only.
B. all sort of purchases.
C. purchases on account only.
D. all sort of purchase returns.

39. The document sent to a supplier upon returning merchandise is known as a/ an

A. invoice.
B. voucher.
C. debit note.
D. credit note.

40. Afifa Traders deals in Computers. The business sold furniture to Maheen Sons on credit.

In the books of Afifa Traders, the journal that will include the given transaction is a

A. cash book.
B. sales journal.
C. general journal.
D. purchase journal.

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41. Raja Electronics bought 20 toaster machines at a list price of Rs 2,300 each, which is subject to 15% trade discount. Later on Raja Electronics returned 3 toaster machines.

The amount that will be entered in the purchase return journal of Raja Electronics is

A. Rs 1,035
B. Rs 1,955
C. Rs 5,865
D. Rs 6,900

42. Saleem has opened a departmental store. In order to keep the track of all the liabilities, assets and capital, he would like to know the balances of various accounts after every transaction.

The MOST appropriate type of ledger for Saleem would be the

A. skeleton form of ledger.
B. standard form of ledger.
C. statement form of ledger.
D. self-balancing form of ledger.

43. Which of the following transaction depicts an 'error of principle'?

A. An accountant records an incorrect amount of sales invoice in sales journal
B. The wrong percentage rate was used when calculating depreciation
C. An item was recorded in the wrong account heads
D. The stock was issued but the invoice was not

44. Which of the following transactions depicts an 'error of omission'?

A. Drawing of Rs 500 is not recorded in the books
B. Rent expense of Rs 1,200 was recorded twice in the account
C. An amount of Rs 786 was entered as Rs 687 in the sales account
D. The purchase account was credited instead of being debited by Rs 1,500

45. Which of the following errors causes the disagreement in trial balance?

A. Over valuation of a provision
B. Unrecovered bad debts recovered
C. Omission of trade receivable account
D. Operating expense was not recorded in the book

46. An account that is temporarily created to balance a trial balance is known as

A. contra account.
B. personal account.
C. suspense account.
D. provision account.

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Use the given information to answer Q.47 and Q.48.

An item of sales return was wrongly posted in the purchase return account.

47. The general entry to correct the given error would be then

	Particulars	P.R.	Debit	Credit
A	Sales return		XXX	
	Purchase return			XXX
B	Purchase return		XXX	
	Sales return			XXX
C	Suspense account		XXX	
	Sales return			XXX
D	Sales return		XXX	
	Suspense account			XXX

48. The impact of the given error would be that the

A. gross profit and net sales will be overstated.
B. gross profit and net sales will be understated.
C. net sales will be overstated and the gross profit will be unaffected.
D. net sales will be unaffected and the gross profit will be overstated.

49. A book keeping error occurs while

A. footing and balancing of a ledger account.
B. adjusting the records in the financial statement.
C. recording final balances of ledger account into the trial balances.
D. recording transactions in the journal and posting them in the ledger.

50. If provision of bad debts is recorded in the provision of depreciation account, then the error is classified as

A. a casting error.
B. a reversal error.
C. an error of omission.
D. an error of commission.

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51. The trial balance of Jamsheed Brothers show that the prepaid salaries are of Rs 60,000, whereas the adjusting data shows that the balance is of Rs 10,000.

    Based on the given information, salaries expense shown in Jamsheed Brothers' financial statement will be

    A. Rs 10,000
    B. Rs 50,000
    C. Rs 60,000
    D. Rs 70,000

52. The trial balance of Rana Traders shows rent expense of Rs 80,000, whereas the adjusting data shows that the balance of rent payable is of Rs 5,000.

    Based on the given information, the adjusted rent payable and rent expense shown in the books of Rana Traders will be then

    A. rent payable Rs 5,000 and rent expense Rs 75,000
    B. rent payable Rs 75,000 and rent expense Rs 5,000
    C. rent payable Rs 5,000 and rent expense Rs 85,000
    D. rent payable Rs 80,000 and rent expense Rs 5,000

53. The trial balance of Inam Associates shows insurance expense of Rs 50,000, whereas the adjusting data shows the accrued insurance of Rs 70,000.

    Based on the given information, the adjusted amount of insurance expense shown in the books of Inam Associates will be

    A. Rs 20,000
    B. Rs 50,000
    C. Rs 70,000
    D. Rs 120,000

54. While adjusting the depreciation expense, the allowance for depreciation is credited against the

    A. cash.
    B. capital.
    C. depreciation expense.
    D. non-current asset account.

55. The opening entries are always posted

    A. just right after posting the adjusting entries.
    B. on the last working day of the accounting year.
    C. on the first working day of the accounting year.
    D. at any time as per the convenience of the accountant.

56. The closing entries are prepared for

    A. assets and liabilities.
    B. incomes and expenses.
    C. incomes, expenses and capital.
    D. capital, liabilities and expenses.

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57. At the end of the accounting year, the accounting information is revised to ascertain the correct status of books.

The entry through which this is done is called as

A. closing entries.
B. opening entries.
C. reversing entries.
D. adjusting entries.

58. If a business has no operating expense, then the net profit would be

I. equal to gross profit
II. less than gross profit
III. more than gross profit

A. I only.
B. II only.
C. I and II.
D. I and III.

59. Net profit can be computed by

A. net sales – net purchases + opening inventory – ending inventory + operating expense
B. net sales – net purchases – opening inventory + ending inventory – operating expense
C. net sales + net purchases – opening inventory + ending inventory
D. net sales + net purchases + opening inventory – ending inventory

60. Nida issued a cheque of Rs 30,000 to Salim & Co which was wrongly entered in the cash book against Salim Brothers.

The corrected general journal entry will be

	Particulars	P.R.	Debit	Credit
A	Account payable (Salim & Co)		30,000	
	Account payable (Salim Brothers)			30,000
B	Account payable (Salim Brothers)		30,000	
	Account payable (Salim & Co)			30,000
C	Account payable (Salim & Co)		30,000	
	Bank			30,000
D	Bank		30,000	
	Account payable (Salim & Co)			30,000

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61. Net purchases can be computed by

A. purchases + transportation in – purchase discount – purchase returns
B. purchases – transportation in – purchase discount – purchase returns
C. purchases + transportation in + purchase discount + purchase returns
D. purchases – transportation in + purchase discount + purchase returns

62. The following data is extracted from the pre-closing trial balance of Ammar Brothers as on December 31, 2021.

S. No.	Account Title	Debit	Credit
1	Sales		250,000
2	Cost of goods sold	200,000	
3	Prepaid insurance	25,000	
4	Rent expense	45,000	
5	Unearned commission income		30,000
6	Salary expense	15,000	
7	Subscription fee payable		5,000

At the end of the year, the unearned commission is Rs 17,000.

The adjusting entry will then be

	Particulars	P.R.	Debit	Credit
A	Unearned commission income		13,000	
	Commission income			13,000
B	Commission income		17,000	
	Unearned commission			17,000
C	Commission receivable		13,000	
	Commission income			13,000
D	Commission receivable		17,000	
	Unearned commission			17,000

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63. The following balances are taken from the books of the Al-Hamra Traders.

S. No.	Account Title	Amount (Rs)
1	Sales	250,000
2	Sales returns	10,000
3	Purchase returns	5,000
4	Purchases	150,000
5	Transportation in	15,000
6	Merchandise inventory opening	25,000
7	Merchandise inventory closing	35,000

The amount of 'gross profit' will be

A. Rs 70,000
B. Rs 80,000
C. Rs 90,000
D. Rs 115,000

64. The pre-closing trial balance of a business showed prepaid advertisement of Rs 45,000.

If at the end of the year prepaid advertisement amounted to Rs 22,000, then in the financial statements advertisement will appear as

	Income Statement	Statement of Financial Position (Balance Sheet)
A	advertisement expense 22,000	prepaid advertisement 45,000
B	advertisement expense 23,000	prepaid advertisement 22,000
C	advertisement expense 22,000	prepaid advertisement 23,000
D	advertisement expense 13,000	prepaid advertisement 45,000

65. In the ten column worksheet, the amount of net loss will appear in the

A. credit column of the balance sheet.
B. credit column of income statement.
C. debit column of the income statement.
D. debit column of the adjusted trial balance.

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